

Electronic Component Sector

Component Data Deposition: Storage production trends in April 2026; nearline HDDs remained strong, with no change in trend line

In this note, we analyze April 2026 HDD and SSD shipment data from TechnoSystems Research (TSR). HDD production volume declined slightly MoM, but remained on a gradual uptrend. Data center-related nearline HDD capacity output rose slightly MoM, but continued to increase strongly YoY, up 31%. Enterprise SSD capacity output continued to increase both YoY and MoM, with the capacity-based growth rate of enterprise SSDs continuing to grow rapidly, at 117% YoY. In nearline HDDs, demand remained solid for models with capacity of 26TB or more in April 2026. In enterprise SSDs, the maximum capacity was 61.44TB for a long time, but TSR stated that 122.88TB and 245.76TB have been introduced and are now in full swing, and the trend toward higher capacity continues.

TDK is our top pick among HDD electronic components makers. Its market share among captive manufacturers could continue to rise since captive manufacturers are suppressing HDD head production capacity increases, and shifting their existing production capacity to heat-assisted magnetic recording (HAMR).

HDD production volume

- In April 2026, HDD production volume was 11.2 million units (+8% YoY, -2% MoM), of which, nearline HDDs accounted for 6.8 million units (+14%, -1%). HDD capacity output was 168.5EB (+30% YoY, flat MoM), of which, nearline HDDs accounted for 154.8EB (+31%, +1%). HDD production volume declined slightly MoM, but the trend line still shows a gentle rise. Among these, production of high-capacity nearline HDDs such as 26TB, 28TB, and 32TB have gradually increased.
- By form factor, only nearline HDD production maintained a growth trend. TSR stated that drive manufacturers are actively moving to secure nearline components, and appear to be presenting bullish production plans to component makers. TSR also said that demand for nearline drives is still at a high level on the back of moves to secure storage upfront, and production volume looks set to remain firm going forward. In addition, in nearline HDDs, the average capacity per drive in April was 22.8TB (+15% YoY, +2% MoM), thus continuing to trend higher.

SSD production volume

- In April 2026, SSD production volume was 29.2 million units (+3% YoY, -1% MoM), of which enterprise/data center SSDs accounted for 5.7 million units (+42%, -4%), and SSD capacity output was 56.2EB (+64%, +1%), of which enterprise/data center SSDs accounted for 37.7EB (+117%, +2%).
- In enterprise/data center SSDs, April average capacity per drive reached 6.6TB (+53% YoY, +6% MoM), thus continuing to trend higher. Total SSD shipment volume has plateaued, but total shipment capacity is growing rapidly, mainly in enterprise/data center SSDs.

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Trends in data center and server storage:

- In April 2026, the total production volume of enterprise HDDs, nearline HDDs, and enterprise/datacenter SSDs was 12.7 million units (+24% YoY, -3% MoM), and total capacity output was 192.9EB (+42%, +1%). Since May 2025, the share of SSDs in total capacity has been on an upward trend, rising to 19.5% of the total as of in April 2026 (19.3% in March 2026, 12.8% in April 2025).

Figure 1: Share price performance

Ticker	Company	Price (JPY)	Performance						Performance Ranking					
			-1W	-1M	-3M	-6M	-9M	-12M	-1W	-1M	-3M	-6M	-9M	-12M
6981	Murata Mfg.	10,490	47.1%	116.7%	155.4%	226.5%	331.3%	385.3%	3	3	3	4	3	4
6976	Taiyo Yuden	16,060	76.4%	143.9%	234.9%	392.8%	429.0%	555.4%	1	1	1	1	2	2
6762	TDK	4,104	21.8%	53.3%	69.3%	60.3%	112.0%	156.2%	4	7	7	9	7	7
6971	Kyocera	3,538	18.1%	31.6%	28.0%	65.6%	79.0%	100.1%	8	9	10	7	10	10
6963	Rohm	5,182	12.8%	51.0%	80.2%	147.4%	137.5%	225.1%	10	8	6	5	6	6
6996	Nichicon	3,970	18.3%	70.9%	84.1%	140.8%	187.7%	235.6%	6	5	5	6	5	5
6997	Nippon Chemi-con	5,620	67.0%	128.3%	197.7%	282.1%	299.1%	423.8%	2	2	2	2	4	3
6594	Nidec	2,899	6.8%	22.2%	17.7%	47.2%	-9.7%	1.8%	11	12	13	12	16	15
6479	MinebeaMitsumi	4,721	18.3%	54.3%	40.3%	48.9%	85.3%	129.3%	7	6	8	11	9	8
4062	Ibiden	21,795	13.2%	73.5%	128.5%	266.9%	501.9%	632.7%	9	4	4	3	1	1
6806	Hirose Elec	28,390	19.5%	30.5%	21.7%	61.1%	47.8%	65.7%	5	10	11	8	11	11
6807	JAE	2,506	-2.5%	2.0%	-7.3%	1.4%	-1.1%	-0.4%	16	15	16	16	15	16
6770	AlpsAlpine	2,214	2.7%	-4.9%	-5.6%	9.2%	22.2%	58.0%	13	16	15	14	12	12
5334	Niterra	10,125	4.9%	18.5%	28.1%	50.0%	90.8%	115.0%	12	14	9	10	8	9
6727	Wacom	871	1.3%	20.5%	-0.7%	3.7%	19.2%	36.9%	14	13	14	15	13	13
7915	NISSHA	1,606	-1.9%	24.4%	17.9%	34.2%	17.8%	21.9%	15	11	12	13	14	14
Simple Average			20.2%	52.3%	68.1%	114.9%	146.9%	196.4%						
	SOX	12,829	5.1%	24.9%	58.4%	82.6%	126.3%	164.0%						
	NK225	66,934	5.7%	11.7%	13.7%	33.2%	56.7%	74.2%						
	TOPIX	3,941	1.2%	4.5%	0.1%	16.6%	28.1%	40.1%						

Source: Bloomberg Finance L.P., J.P. Morgan.

Note: Share prices as of June 1, 2026. The darker the red, the higher the stock price performance ranking (the darker the blue, the lower the ranking).

Figure 2: Valuations of electronic component and HDD-related stocks

Ticker	Company	Share Price (JPY)	Price Target (JPY)	Return	Rating	Market Capitalization (JPY mn)	P/E			EPS			EV/EBITDA			P/B		
							FY25E	FY26E	FY27E	FY25E	FY26E	FY27E	FY25E	FY26E	FY27E	FY25E	FY26E	FY27E
							(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)
6981	Murata Mfg.	10,490	7,000	-33.3%	OW	20,591,889	89.31	64.47	43.97	117	163	239	20.42	16.20	11.77	7.38	6.89	6.19
6976	Taiyo Yuden	16,060	9,500	-40.8%	OW	2,091,309	136.78	91.46	44.57	117	176	360	12.92	10.54	7.07	6.18	5.95	5.35
6762	TDK	4,104	3,200	-22.0%	OW	7,977,601	39.63	31.56	26.50	104	130	155	7.85	6.63	5.71	4.03	3.72	3.40
6971	Kyocera	3,538	2,400	-32.2%	N	5,020,779	39.20	38.81	36.04	90	91	98	16.04	14.20	13.08	1.52	1.62	1.73
6963	Rohm	5,182	3,900	-24.7%	OW	2,092,284	161.49	59.52	38.63	32	87	134	20.26	12.32	9.91	2.26	2.24	2.17
6996	Nichicon	3,970	2,400	-39.5%	OW	277,900	46.39	35.56	26.83	86	112	148	6.21	4.90	3.99	2.34	2.24	2.11
6997	Nippon Chemi-con	5,620	1,260	-77.6%	UW	138,805	69.39	34.16	23.28	81	165	241	8.45	6.56	5.24	3.25	2.94	2.59
6594	Nidec	2,899	1,800	-37.9%	UW	3,457,257	26.66	16.56	14.50	109	175	200	10.02	6.45	5.45	1.80	1.63	1.46
6479	MinebeaMitsumi	4,721	3,700	-21.6%	OW	2,016,248	27.54	21.64	18.88	171	218	250	8.20	7.09	6.19	2.40	2.22	2.05
4062	Ibiden	21,795	18,400	-15.6%	OW	6,140,112	84.74	114.71	95.14	257	190	229	36.02	27.72	20.31	10.53	9.68	8.82
6806	Hirose Elec	28,390	32,100	13.1%	OW	1,013,352	30.78	30.31	26.23	922	937	1,082	11.74	10.72	9.79	2.55	2.50	2.44
6807	JAE	2,506	2,395	-4.4%	N	176,178	23.00	19.32	14.39	109	130	174	4.91	4.29	3.62	1.23	1.19	1.13
6770	AlpsAlpine	2,214	2,440	10.2%	N	460,742	16.71	14.24	12.34	133	156	179	5.39	4.62	4.15	0.95	0.91	0.86
5334	Niterra	10,125	9,100	-10.1%	OW	2,017,383	19.31	17.85	16.13	524	567	628	8.63	7.49	6.62	2.57	2.37	2.17
6727	Wacom	871	1,300	49.3%	OW	117,585	11.77	12.04	11.47	74	72	76	5.23	4.36	3.36	2.64	2.06	1.67
7915	NISSHA	1,606	1,340	-16.6%	N	77,114	76.03	18.50	14.10	21	87	114	6.26	4.95	4.39	0.66	0.65	0.63
Simple Average							56.17	38.79	28.94	184	216	269	11.78	9.32	7.54	3.27	3.05	2.80

Tiker	Company	Share Price (JPY)	Price Target (JPY)	Return	Rating	Market Capitalization (JPY mn)	ROE			DPS			Dividend Yield			Dividend Payout Ratio		
							FY25E	FY26E	FY27E	FY25E	FY26E	FY27E	FY25E	FY26E	FY27E	FY25E	FY26E	FY27E
							(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(%)	(%)	(%)	(%)	(%)	(%)
6981	Murata Mfg.	10,490	7,000	-33.3%	OW	20,591,889	8.3%	11.1%	14.8%	60.0	62.0	66.0	0.6%	0.6%	0.6%	51.1%	38.1%	27.7%
6976	Taiyo Yuden	16,060	9,500	-40.8%	OW	2,091,309	5.0%	7.3%	13.8%	90.0	90.0	90.0	0.6%	0.6%	0.6%	76.7%	51.3%	25.0%
6762	TDK	4,104	3,200	-22.0%	OW	7,977,601	10.5%	12.3%	13.4%	34.0	42.0	50.0	0.8%	1.0%	1.2%	32.8%	32.3%	32.3%
6971	Kyocera	3,538	2,400	-32.2%	N	5,020,779	3.8%	4.0%	4.6%	50.0	50.0	50.0	1.4%	1.4%	1.4%	55.4%	54.8%	50.9%
6963	Rohm	5,182	3,900	-24.7%	OW	2,092,284	1.6%	4.4%	6.6%	50.0	50.0	50.0	1.0%	1.0%	1.0%	155.8%	57.4%	37.3%
6996	Nichicon	3,970	2,400	-39.5%	OW	277,900	5.1%	6.4%	8.1%	36.0	37.0	38.0	0.9%	0.9%	1.0%	42.1%	33.1%	25.7%
6997	Nippon Chemi-con	5,620	1,260	-77.6%	UW	138,805	4.0%	7.6%	10.1%	20.0	20.0	20.0	0.4%	0.4%	0.4%	24.7%	12.2%	8.3%
6594	Nidec	2,899	1,800	-37.9%	UW	3,457,257	7.0%	10.3%	10.6%	0.0	0.0	0.0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
6479	MinebeaMitsumi	4,721	3,700	-21.6%	OW	2,016,248	9.0%	10.7%	11.3%	55.0	60.0	70.0	1.2%	1.3%	1.5%	32.1%	27.5%	28.0%
4062	Ibiden	21,795	18,400	-15.6%	OW	6,140,112	14.2%	9.3%	10.3%	25.0	21.0	22.0	0.1%	0.1%	0.1%	9.7%	11.1%	9.6%
6806	Hirose Elec	28,390	32,100	13.1%	OW	1,013,352	8.6%	10.0%	11.3%	540.0	560.0	580.0	1.9%	2.0%	2.0%	58.5%	59.8%	53.6%
6807	JAE	2,506	2,395	-4.4%	N	176,178	5.4%	6.3%	8.1%	60.0	60.0	60.0	2.4%	2.4%	2.4%	55.1%	46.3%	34.4%
6770	AlpsAlpine	2,214	2,440	10.2%	N	460,742	6.3%	6.9%	7.6%	60.0	65.0	70.0	2.7%	2.9%	3.2%	45.3%	41.8%	39.0%
5334	Niterra	10,125	9,100	-10.1%	OW	2,017,383	14.2%	13.8%	14.0%	204.4	220.0	240.0	2.0%	2.2%	2.4%	39.0%	38.8%	38.2%
6727	Wacom	871	1,300	49.3%	OW	117,585	26.5%	19.2%	16.1%	26.0	22.0	22.0	3.0%	2.5%	2.5%	35.1%	30.4%	29.0%
7915	NISSHA	1,606	1,340	-16.6%	N	77,114	0.9%	3.5%	4.6%	50.0	50.0	50.0	3.1%	3.1%	3.1%	236.7%	57.6%	43.9%
Simple Average							8.1%	8.9%	10.3%				1.4%	1.4%	1.5%	59.4%	37.0%	30.2%

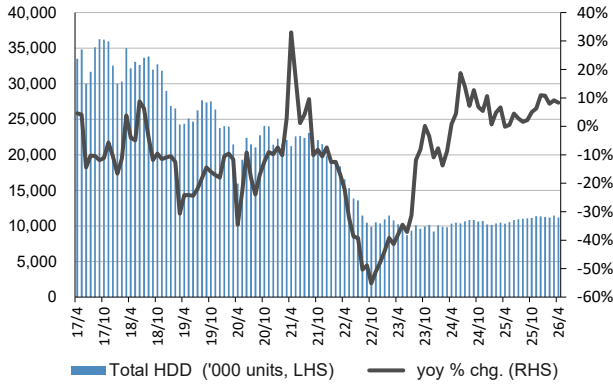
Ticker	Company	Share Price (LC)	P/E Consensus(BBG)			P/B Consensus(BBG)		
			FY25	FY26E	FY27E	FY25	FY26E	FY27E
			(x)	(x)	(x)	(x)	(x)	(x)
WDC U:WD		531	53.56	30.71	20.25	18.35	13.19	9.50
STX US Seagate		880	59.42	33.29	22.85	109.20	33.39	17.12
7741 JT HOYA		26,440	33.35	29.46	26.16	8.68	8.18	-
6504 JT Fuji electric		15,560	22.12	20.35	17.99	2.69	2.47	2.26
4004 JT Resonac HD		18,430	35.88	26.82	23.27	4.26	3.87	3.35
5991 JT NHK Spring		3,570	15.58	14.15	-	1.56	1.45	-

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note: Share prices and Bloomberg (BBG) consensus are as of June 1, 2026. NISSHA's FY25 is actual data.

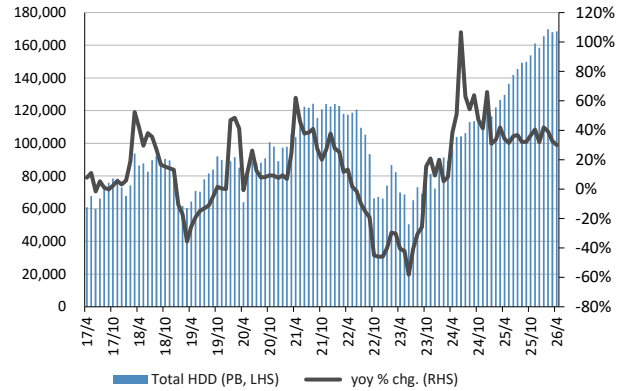
HDD production volume, HDD capacity output

Figure 3: HDD production volume



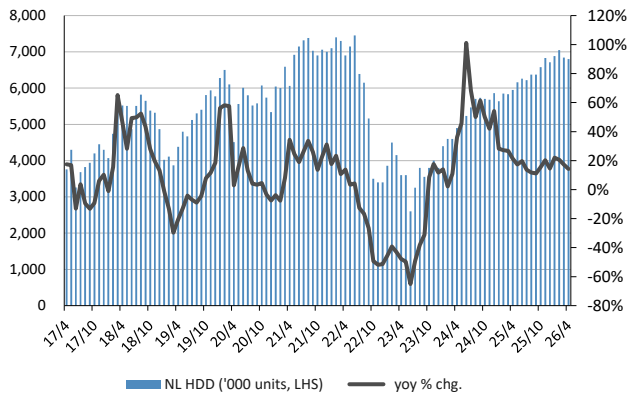
Source: TSR, J.P. Morgan.

Figure 4: HDD capacity output



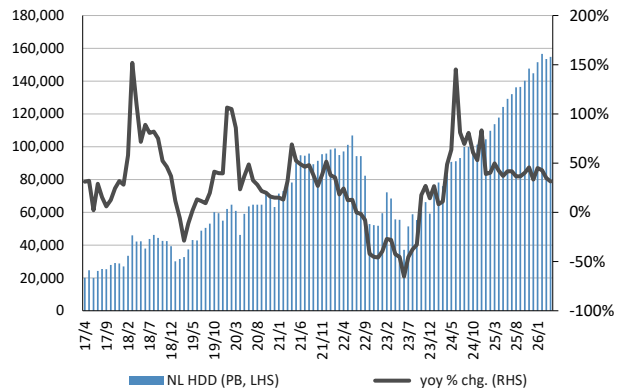
Source: TSR, J.P. Morgan.

Figure 5: Nearline HDD production volume



Source: TSR, J.P. Morgan.

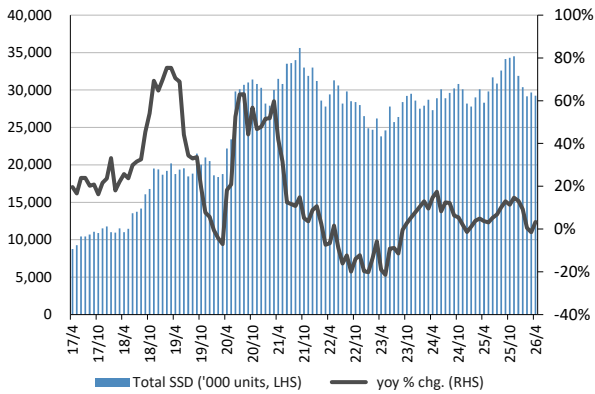
Figure 6: Nearline HDD capacity output



Source: TSR, J.P. Morgan.

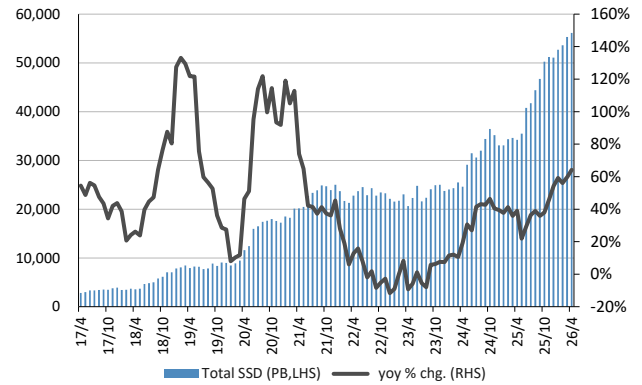
SSD production volume, SSD capacity output

Figure 7: SSD production volume



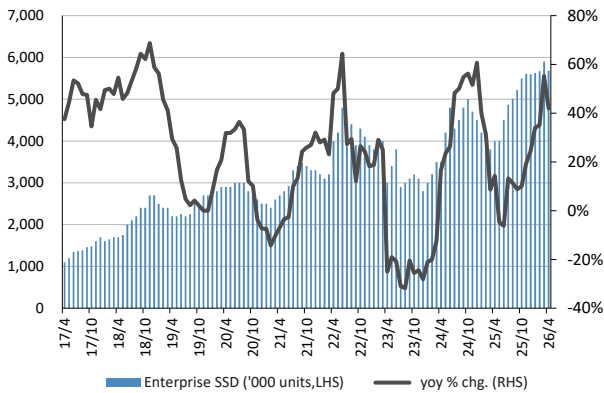
Source: TSR, J.P. Morgan.

Figure 8: SSD capacity output



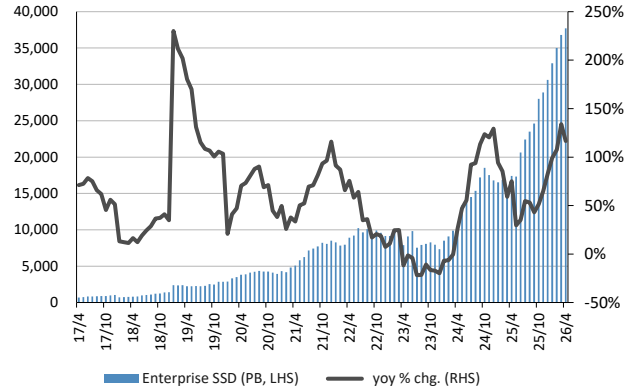
Source: TSR, J.P. Morgan.

Figure 9: Enterprise/Datacenter-Storage production volume



Source: TSR, J.P. Morgan.

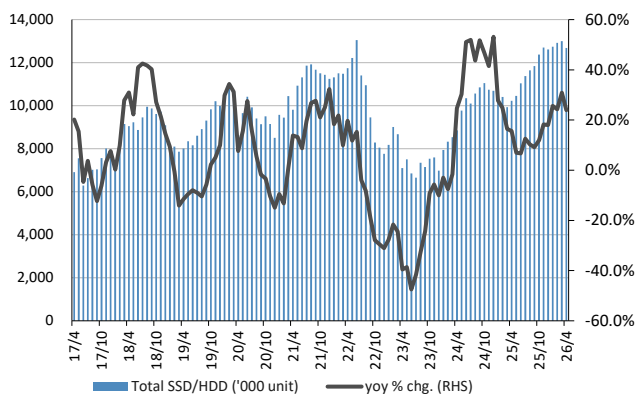
Figure 10: Enterprise/Datacenter-Storage capacity output



Source: TSR, J.P. Morgan.

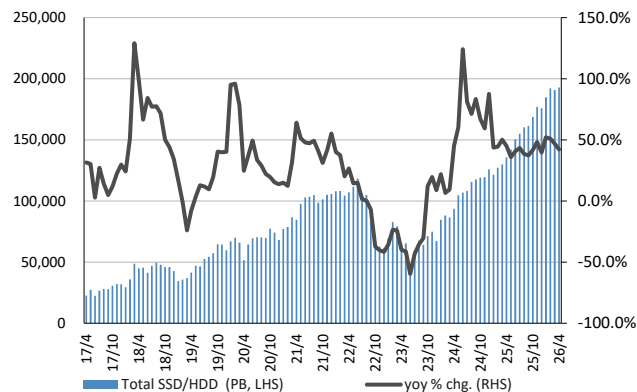
Enterprise/Datacenter Storage production volume, Enterprise/Datacenter Storage capacity output

Figure 11: Enterprise/Datacenter-Storage production volume



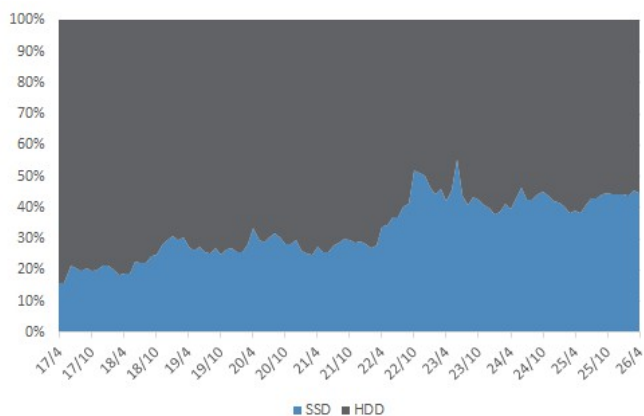
Source: TSR, J.P. Morgan.

Figure 12: Enterprise/Datacenter-Storage capacity output



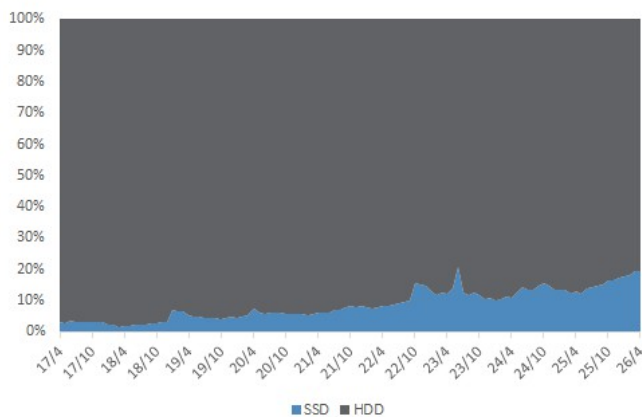
Source: TSR, J.P. Morgan.

Figure 13: Enterprise/Datacenter-production volume (SSD/HDD ratio)



Source: TSR, J.P. Morgan.

Figure 14: Enterprise/Datacenter-production capacity (SSD/HDD ratio)



Source: TSR, J.P. Morgan.

Companies Discussed in This Report (all prices in this report as of market close on 02 June 2026, unless otherwise indicated)
TDK (6762)(6762.T/¥3,849/OW)

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TDK (6762) (6762.T, 6762 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
02-Jun-23	N	1060	5,500
24-Jan-24	N	1492	7,000
22-Jul-25	OW	1675	2,070
14-Oct-25	OW	2212	2,600
19-Dec-25	OW	2218	2,700
03-Apr-26	OW	1946	3,200

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

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